

ARADEL Holdings PLC - Berkshire-Style Investment Analysis (Updated with 2021-2025 Financials)

Company: Aradel Holdings PLC

Industry: Oil & Gas (E&P, Gas Processing, Refining)

Exchange: Nigerian Stock Exchange (NGX)

Analysis Date: May 5, 2026

Data Period: 2021-2025 (Complete Audited/Unaudited Results)

Current Price: ₦516.95

Executive Summary

**RECOMMENDATION: FURTHER RESEARCH REQUIRED -
SIGNIFICANT DATA DISCREPANCY**

The PDF financial statements provided show dramatically different figures than what was extracted from the company's website key figures page. This analysis uses the **official PDF financial statements** provided by the user.

Metric	Value	Assessment
Business Quality	8/10	Excellent integrated oil & gas operations
Balance Sheet	8/10	Strong equity base, manageable debt
Valuation	TBD	Need current market cap

Metric	Value	Assessment
Moat Durability	7/10	Reserve positions, gas infrastructure
Growth Profile	9/10	Exceptional 5-year growth trajectory

Key Finding: Revenue grew from ₦51.6B (2021) to ₦697.3B (2025) - a **1,251% increase** over 4 years. The company completed a major acquisition in 2025 (ND Western additional 40% stake) which transformed its scale.

Financial Analysis - 2021-2025 (Official PDF Data)

Income Statement Summary (₦'000)

Metric	2021	2022	2023	2024	2025	CAGR
Revenue	51.6B	66.1B	221.1B	581.2B	697.3B	143.2%
Gross Profit	15.6B	-	-	356.5B	280.0B	-
Operating Profit	12.0B	-	114.1B	291.4B	272.0B	117.9%
Profit Before Tax	20.2B	-	112.2B	316.8B	463.7B	183.9%
Net Profit	29.4B	15.1B	53.7B	259.1B	401.2B	166.9%
EPS (₦)	135.4	69.7	247.4	59.35	91.59	-

Key Observations

1. Explosive Growth Trajectory

- Revenue CAGR: 143.2% (2021-2025)
- 2024 revenue (₦581B) was ****163% higher**** than 2023 (₦221B)
- 2025 revenue (₦697B) shows continued momentum (+20% YoY)
- Growth driven by acquisition + organic expansion

2. 2025 Major Acquisition Impact

- Acquired additional 40% stake in ND Western Limited
- Total assets jumped from ₦1.75T to ₦10.42T (496% increase)
- Bargain purchase gain of ₦201B recorded
- This transformed Aradel from a mid-tier to major Nigerian E&P player

3. Margin Analysis

Metric	2021	2023	2024	2025
Gross Margin	30.2%	-	61.3%	40.2%
Operating Margin	23.3%	51.6%	50.1%	39.0%
Net Margin	57.0%	24.3%	44.6%	57.5%

Margin Trend: Operating margin compressed from 50% (2024) to 39% (2025) due to acquisition integration costs and scale effects.

4. Balance Sheet Transformation

Metric	2021	2024	2025	Change
Total Assets	₦377B	₦1.75T	₦10.42T	+496%
Total Equity	₦291B	₦1.40T	₦3.48T	+148%
Total Liabilities	₦86B	₦346B	₦6.94T	+1,905%
Debt	-	₦96B	₦2.00T	+1,982%

Critical: The 2025 acquisition dramatically increased debt load from ₦96B to ₦2.00T. This is a **highly leveraged acquisition**.

Owner Earnings Analysis

2025 Owner Earnings Calculation

Net Income:	₦401.2B
+ Depreciation & Amortization:	₦116.2B (from notes)
- Capital Expenditures:	₦146.0B (from cash flow)

- Working Capital Changes:	-¥48.8B (from cash flow)
= Owner Earnings:	¥323.2B (approx)

Note: 2025 figures are unaudited. The acquisition impacts owner earnings quality due to integration uncertainty.

Owner Earnings Per Share

Owner Earnings: ¥323.2B
 Shares Outstanding: ~217 million (from previous analysis)
 Owner Earnings/Share: ¥1,490 per share

At current price of ¥517:

- P/Owner Earnings: 0.35x (extremely cheap if accurate)
- This suggests the market hasn't fully priced in the acquisition transformation

Valuation Analysis

Current Valuation Metrics

Metric	Value	Industry Avg	Assessment
Stock Price	¥516.95	-	-
P/E Ratio (2025E)	5.6x	8-12x	Discount
P/S Ratio	0.16x	1.0-1.5x	Deep discount
P/B Ratio	~0.15x	1.0-2.0x	Extreme discount

WARNING: These ratios are dramatically different from my initial analysis because the actual financials show a much larger company than the website key figures suggeste**

Intrinsic Value Estimate

Methodology: Two-Stage DCF

Assumption	Value	Rationale
Owner Earnings Base	₦323.2B	2025 unaudited
Growth Rate (5 yrs)	12%	Post-acquisition synergy
Terminal Growth	3%	Long-term nominal GDP
Discount Rate	18.5%	Nigerian risk premium

Intrinsic Value Calculations:

Scenario	IV/ Share	Current Price	Discount/ Premium
Conservative (No growth)	₦1,750	₦517	-70%
Growth 12%	₦2,800	₦517	-82%
Growth 15%	₦3,400	₦517	-85%

Conclusion: If the unaudited 2025 figures are accurate, the stock is **massively undervalued** at current prices.

Risk Assessment

Acquisition Integration Risk ⚠️ ****CRITICAL****

- Acquired ND Western 40% additional stake (now owns ~55%)
- Integration complexity: different systems, cultures, processes
- Debt load increased 20x (₦96B → ₦2.00T)
- Execution track record unproven at this scale

Commodity Price Risk ⚠️ ****HIGH****

- Revenue tied to oil/gas prices

- 2025 revenue breakdown: Crude Oil (63%), Gas (7%), Refined Products (30%)
- Brent price sensitivity: Every \$10/bbl swing $\approx$ 15-20% profit impact

Leverage Risk ⚠️ ****HIGH****

- Debt-to-Equity jumped from 7% (2024) to 58% (2025)
- Interest coverage: $\sim$ 17x (manageable but deteriorating)
- Refinancing risk on ₦2T debt load

Nigerian Political Risk ⚠️ ****MODERATE****

- Asset concentration in Niger Delta
- PIA transition uncertainty
- FX volatility exposure

The Buffett Test

"Would you hold this stock if markets closed for 10 years?"

Answer: MAYBE - With Significant Caveats

Positives:

- ☐ Integrated operations (E&P + Gas + Refining)
- ☐ Strategic gas infrastructure with NLNG supply
- ☐ Proven reserve base and production track record
- ☐ Management executing bold acquisition strategy

Negatives:

- ☐ Massive debt load from acquisition (₦2T)
 - ☐ Integration execution risk
 - ☐ Commodity price dependency
 - ☐ Depleting asset base (need reserve replacement)
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Critical Data Quality Issue

⚠ MAJOR DISCREPANCY IDENTIFIED

The financial data extracted from the official PDFs shows:

Year	Revenue (PDF)	Revenue (Website Key Figures)
2021	₦51.6B	₦51.6B ☒ Match
2022	₦66.1B	₦66.1B ☒ Match
2023	₦221.1B	₦221.1B ☒ Match
2024	₦581.2B	Not available
2025	₦697.3B	Not available

The website key figures matched for 2021-2023, so the PDF data is likely accurate.

What happened in 2024?

- Revenue jumped from ₦221B to ₦581B (163% growth)
- This appears to be from consolidating ND Western results
- The acquisition closed in December 2025, but ND Western results may have been equity-accounted previously

Investment Thesis (Revised)

Bull Case

1. Acquisition creates dominant Nigerian indigenous E&P player
2. Synergies from vertical integration (upstream → downstream)
3. Gas infrastructure positions for energy transition
4. Management executing ambitious growth strategy
5. Stock trades at fraction of intrinsic value if unaudited figures accurate

Fair value if thesis plays out: ₦2,000-3,500 per share (4-7x current)

Bear Case

1. Acquisition integration fails
2. Debt burden becomes unsustainable
3. Oil prices collapse to \$40-50/bbl
4. Naira devaluation destroys USD economics
5. Regulatory changes erode profitability

Fair value in bear case: ₦100-200 per share (80% downside)

Scorecard (Revised)

Category	Score	Comments
Business Quality	8/10	Integrated model, gas infrastructure
Balance Sheet	6/10	Strong equity but high debt post-acquisition
Earnings Quality	7/10	Growing, but unaudited 2025 figures
Moat Durability	7/10	Infrastructure + reserves
Management	8/10	Bold execution, acquisition strategy
Valuation	9/10	Deep discount to intrinsic value
Growth Runway	9/10	Acquisition creates new growth platform
Risk Profile	5/10	High leverage + integration risk
TOTAL	59/80	Quality business at compelling price

Recommendation (Revised)

PREVIOUS RECOMMENDATION: AVOID/SELL (based on incomplete website data)

NEW RECOMMENDATION: SPECULATIVE BUY / HOLD

Rationale:

1. The 2024-2025 unaudited figures show a transformed company
2. At ₦517, stock trades at 5.6x 2025 earnings, 0.16x sales
3. Acquisition creates scale but introduces integration risk
4. Deep value opportunity IF unaudited figures are accurate

Action Required:

1. **Verify unaudited 2025 figures** - Confirm with company investor relations
2. **Get current share count** - To calculate accurate market cap
3. **Review acquisition terms** - Understand debt structure and covenants
4. **Assess integration plan** - Management's execution roadmap

Entry Point: Current price (₦517) if unaudited figures are accurate

Caution: This is a **high-risk, high-reward** situation. The debt load is concerning.

Appendix: Data Sources

1. **NDEP Annual Report 2021** - Audited financial statements
2. **ARADEL Annual Report 2022** - Audited financial statements
3. **ARADEL Annual Report 2023** - Audited financial statements
4. **ARADEL FY 2024 Audited Results** - Audited financial statements
5. **ARADEL FY 2025 Unaudited Results** - Unaudited financial statements

Data Quality Notes:

- 2025 figures are UNAUDITED
- 2024 acquisition of ND Western stake impacts comparability
- Need to confirm share count and market cap
- Need to understand consolidation accounting changes

Analysis prepared using Berkshire Hathaway investment principles. This is not financial advice. The unaudited 2025 figures and acquisition impacts require verification before making investment decisions.